

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

The Cage Doesn't End When You Turn 65 — It Changes Shape

A Lifecycle Analysis of Disability, Aging, and Income Security in Canada

Movement One — The Reality Check

Section 1.1 — If You Get Hurt at Work Tomorrow

This document is written for several audiences. It is written for seniors who have been inside the system for years and have never seen the architecture they are inside of named in writing. It is written for advocates and policy researchers and elected officials who are looking for the documentary record. It is written for the Indigenous, 2SLGBTQ+, immigrant, and racialized communities for whom the system functions worst, and whose own work this document draws from rather than substitutes for.

But it is written first for the working-age reader who does not yet think this document is about them. It is written for the welder, the heavy-duty mechanic, the hospital cleaner, the warehouse picker, the long-haul driver, the meat-plant worker, the kindergarten teacher, the home-care worker, the pipefitter, the line cook, the construction labourer, the oil-patch tradesperson, the tradeshow rigger, the courier, and every other Canadian whose body is the instrument they earn with. It is written for the person who has never been on a disability program, has never thought of themselves as part of the disability community, and who believes — because they have been allowed to believe — that the system in this country will catch them if their body fails.

This is what happens if your body fails.

The cascade

You are forty-two years old. You have been working since you were seventeen. You earn \$95,000 a year. You have a mortgage, two kids, a spouse who works part-time and does most of the home labour, a paid-off vehicle, \$23,000 in an RRSP, \$8,000 in a TFSA, and a basement that you finished yourself last summer. You are not rich. You are doing what you were told to do. You vote. You file your taxes on time. You have paid the Canada Pension Plan, Employment Insurance, and federal and provincial income tax every year of your working life — somewhere in the range of \$700,000 in lifetime taxes, contributions, and premiums by the time the accident happens.

The accident happens on a Tuesday in November. You fall from a height. Or a load shifts. Or a vehicle hits yours on the way to a job site. Or your back, which has been telling you for years that something is wrong, finally tells you in a way that ends the work day. Or you are diagnosed with a disease that two years earlier had no symptoms. The mechanism does not matter. What matters is what comes next.

Weeks one through twelve: WCB

If the injury happened at work, the Workers' Compensation Board of Alberta opens a claim. WCB pays wage replacement at 90% of net earnings, capped at the 2026 Maximum Compensable Earnings of \$110,900 per year. (*Source: WCB-Alberta — Wage replacement; WCB-Alberta — Maximum Compensable and Assessable Earnings Fact Sheet, January 2026.*) If you earned more than that — and many trades workers, oil-patch workers, and skilled-trades workers do — your wage replacement is calculated against

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the cap, not against what you actually lost. Between September 2018 and December 2020 there was no cap on wage loss benefits in Alberta. The cap was restored on January 1, 2021. The same provincial government that is now restructuring AISH into ADAP is the government that put the wage-replacement cap back in place after a brief period without one.

So if you earned \$125,000 a year, your WCB benefit is calculated as if you earned \$110,900. The \$14,100 of annual income above the cap simply disappears from the calculation. You paid income tax on every dollar of it. The WCB does not insure it.

Weeks thirteen through fifty-two: the cap, the deeming, the disputes

WCB benefits are not a guarantee. They are an adjudicated entitlement. The Board may require independent medical examinations to confirm your injury. It may dispute the connection between the injury and the workplace. It may apply a "deemed earning capacity" — a determination that you are capable of earning a certain amount in some hypothetical job, even if you cannot actually find that job. Your benefit is reduced by the deemed amount, regardless of whether the deemed earnings exist in reality.

If you are a high-income earner above the cap, the gap between what you lost and what WCB replaces grows every month. If you are a moderate-income earner inside the cap, you are receiving roughly two-thirds of your previous take-home pay (90% of net, less the cap effect, less any deemed earnings). Your mortgage did not adjust. Your kids' activities did not adjust. The cost of groceries did not adjust. The cost of the medication you now require did not adjust.

Year two: when WCB ends or denies

WCB benefits end when you can return to work, when a permanent partial impairment award is settled, when a permanent total disability pension begins, or — for most workers — when WCB and your treating physicians disagree about whether you are still disabled enough to qualify. If WCB closes your file and you cannot return to work, there is no automatic transfer to anything else. You apply for what comes next. You apply for AISH.

If your disability did not happen at work — if you developed multiple sclerosis, or had a stroke, or were diagnosed with cancer that became disabling — there was no WCB to begin with. You started at the AISH application.

What AISH is

The Assured Income for the Severely Handicapped pays \$1,940 per month. (*Source: Government of Alberta — AISH program page, 2026.*) That is \$23,280 per year, before any non-cash benefits. Average one-bedroom rent in Alberta in 2026 is between \$1,500 and \$1,900 per month. (*Source: Canada Mortgage and Housing Corporation rental market data; Inclusion Alberta Fact Sheet, December 2025.*) For a single parent of three children needing a three-bedroom unit, the average rent is \$2,138 per month. That is more than the entire AISH benefit, before a single grocery item is purchased.

To qualify for AISH, you must have a permanent disability that substantially limits your ability to earn a living, and you must meet the financial-eligibility tests. The financial tests are the part most working-age Canadians do not know about. Liquid assets — money in chequing, savings, TFSAs, RRSPs, GICs, non-registered investments, and most other savings vehicles — are capped at \$5,000 for a single applicant and \$10,000 for a couple with dependents. (*Source: Government of Alberta — AISH financial eligibility,*

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2026.) A vehicle is exempt up to a value the Board determines. A primary residence is exempt. Almost everything else you have built must be liquidated before AISH will pay you a dollar.

The \$23,000 in your RRSP — the retirement savings you built across twenty years of work — must be collapsed. You will pay withholding tax on the collapse, between 10% and 30% depending on the amount, plus the rest will be added to your income for the year and taxed at your marginal rate. The \$8,000 in your TFSA must be liquidated. The vehicle worth more than the exemption must be sold. The basement you finished yourself adds to the equity in your house, which is exempt from the asset cap, but you cannot eat the basement. The house equity does not pay your property taxes, your utilities, your insurance, or your maintenance — all of which still come due.

When you have spent down to the asset cap, AISH will begin to pay you \$1,940 per month.

What the cohabitation rule does

You are married. Your spouse works part-time and earns \$38,000 per year. AISH does not pay a married couple as if they are two individuals; it treats your spouse's income as household income for the purpose of determining your benefit. (*Source: Government of Alberta — AISH benefits and exemption rules; Inclusion Alberta — AISH Cohabitation Briefing, 2025.*) Your spouse's earnings reduce your AISH cheque. The exemption thresholds are calculated against the household, not against you. Above the partner-income exemption — which is being reduced from \$2,612 per month to \$1,500 per month under the post-July 2026 framework — every dollar your spouse earns reduces your AISH benefit by a percentage that approaches dollar-for-dollar at higher household incomes.

Your spouse cannot work less to preserve your benefit, because the household needs the income. Your spouse cannot work more to make up the gap, because every additional dollar earned reduces your benefit. The system has placed your spouse in a vise. The longer it lasts, the tighter the vise gets.

What this does to a marriage

This is the part the document does not need to argue. The pattern is documented in every disability-policy literature in this country. A spouse who is now the sole earner, the primary caregiver, the financial decision-maker, and the person responsible for managing a household whose income has dropped by 60% — while caring for a partner whose physical or cognitive condition has changed permanently, and often while still raising children — is a spouse under structural conditions that no marriage was designed to survive. Most do not. The literature on this is consistent across jurisdictions.

The decision to separate is rarely framed by the people inside it as a financial decision. It is framed as exhaustion, as resentment, as drift, as the loss of the person they married, as the cost of constant care without support, as the slow erosion of a partnership under conditions of permanent crisis. The financial mechanism that produced those conditions does not appear in the conversation. It does not need to. It already did its work.

The Canada Disability Benefit, and what Alberta does with it

The federal government created the Canada Disability Benefit in 2024 to lift working-age Canadians with disabilities above the poverty line. The CDB pays up to \$200 per month to eligible recipients. Alberta is the only province in Canada that claws this benefit back dollar-for-dollar from AISH. (*Source: Inclusion Alberta — Canada Disability Benefit in Alberta Fact Sheet, July 2025; Petit, G., Canadian Tax Observatory, April*

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2026.) The federal money intended to ease your situation is captured by the provincial calculation. You receive zero net benefit from the CDB. The federal investment is absorbed by the province.

The same pattern operates with the Canada Pension Plan Disability benefit. 16,161 Albertans on AISH — 20.4% of the entire AISH caseload as of September 2025 — receive CPP-D from contributions they made during their working years. (Source: *Government of Alberta — Assisted Living and Social Services Open Data, AISH Caseload September 2025*.) Every dollar of CPP-D is deducted from their AISH benefit. They paid into CPP for ten, fifteen, twenty years before becoming disabled, qualified for CPP-D when their disability ended their employment, and receive zero net benefit from the contributions they made. Their total income is identical to the income of a person who never worked a day in their life.

Five years in

Five years after the accident, you are forty-seven. You are no longer married. The basement you finished is in the house your former spouse and the children live in; you live in a one-bedroom apartment that takes most of your monthly AISH cheque. The RRSP is gone. The TFSA is gone. The vehicle is gone. The line of credit you used to bridge the gap between WCB ending and AISH starting is still being paid down. You have not held a job in five years and the gap on your résumé is growing in a way that means even if your disability allowed you to return to part of your previous work, no employer is now going to consider you.

You have learned the unwritten rules of the system. You have learned that any money in your account on the first of the month above \$5,000 puts your benefit at risk. You have learned that any new relationship triggers a reassessment. You have learned that the call centre that replaced your individual caseworker in 2024 cannot tell you anything that requires looking up your file. (Source: *Inclusion Alberta ADAP Fact Sheet, December 2025; AUPE — AISH Caseworker Caseload Statement, 2025*.) You have learned to call back the next day, get a different person, and try again.

You are eighteen years away from sixty-five. You are eighteen years away from the senior system.

What is waiting at sixty-five

This document exists because most Canadians believe — because they have been allowed to believe — that the senior system is qualitatively different. That the Canada Pension Plan, Old Age Security, and the Guaranteed Income Supplement constitute a different kind of program from AISH and ADAP — a program that is not stingy, not punitive, not built around the assumption that anyone receiving it is gaming it, not designed to extract the maximum from the federal contribution while delivering the minimum to the recipient.

Most Canadians believe this because nobody has shown them the architecture from end to end. The architecture is the same. The mechanism is the same. The cohabitation penalty is the same. The asset capture is the same. The contribution-versus-receipt mismatch is the same. The structural pressure to live alone, to remain unmarried, to declare separation in order to preserve income, is the same. The names of the programs change at sixty-five. The cage does not change. It changes shape.

Movement Two of this document walks the architecture, program by program, dollar by dollar, source by source. Movement Three documents how the architecture operates worst on Indigenous, 2SLGBTQ+, immigrant, racialized, and other intersectionally affected populations. Movement Four is the closing — written for the seniors who already live inside this cage, who have been single-on-paper for years to keep the Guaranteed Income Supplement, who lost a spouse and an income in the same week, who watched

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their working-life savings vanish into long-term care accommodation costs, who never got back what they paid in.

The document is also written for the welder, the heavy-duty mechanic, the hospital cleaner, the warehouse picker, the long-haul driver, the meat-plant worker. If you are forty-two years old and reading this and your body still does what you ask of it, you are reading the document about what is waiting if it stops. The architecture exists. The numbers are published. The mechanism is documented. None of this is hidden. It has only been distributed in pieces, across different programs, in language designed to keep each piece separate from the others, so that the cage can only be seen from the inside.

This document assembles the cage. It exists so that the cage can be seen from the outside, by the people who do not yet know they are walking toward it.